S.No.2

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH – 1
VC AND PHYSCIAL (HYBRID) MODE
ATTENDANCE CUM ORDER SHEET OF THE HEARING HELD ON
01-10-2024 AT **10:30 AM**

CP (CAA) No. 52/230/HDB/2023
u/s. 230 of Companies Act, 2013

IN THE MATTER OF:
M/s. ZEN Quality Assurance Private Limited (Transferor Co.,) Vs M/s. Qualitest Technologies Private Limited (Transferee Co.,) **…Petitioner**

C O R A M:-
DR. VENKATA RAMAKRISHNA BADARINATH NANDULA, HON'BLE MEMBER (JUDICIAL)
SH. CHARAN SINGH, HON'BLE MEMBER (TECHNICAL)

O R D E R

Orders pronounced. In the result, **CA (CAA) No. 52/230/HDB/2023 is allowed,** subject to the directions mentioned in the order.

Sd/-
MEMBER (T)

Sd/-
MEMBER (J)

Swapna

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH-I

CP (CAA) No. 52/230/HDB/2023 connected with
CA (CAA) NO.45/230/HDB/2023
U/s 230 and 232 of the Companies Act, 2013

IN THE MATTER OF
ZEN QUALITY ASSURANCE PRIVATE LIMITED
(TRANSFEROR COMPANY)
AND
QUALITEST TECHNOLOGIES PRIVATE LIMITED
(TRANSFEREE/ RESULTING COMPANY)
AND
THEIR RESPECTIVE SHAREHOLDERS

ZEN QUALITY ASSURANCE PRIVATE LIMITED

Having its registered office at
1st, 2nd, 3rd Floor, Atria Building,
Plot No.17, Survey No.64/2,
Software Units Layout, Madhapur,
Hyderabad – 500081, Telangana, India,
Represented by its Director/Authorised Signatory
Mr. Manu Thupadahalli Ramesh

...Petitioner No.1 /Transferor Company

And

QUALIEST TECHNOLOGIES PRIVATE LIMITED

Having its registered office at
Regus, SL Jubilee, 3rd Floor,
Plot No 1202&1215A, Road no.36,
Jubilee Hills,
Hyderabad - 500 033, Telangana, India,
Represented by its Director/Authorised Signatory
Mr. Mathai Mathew

...Petitioner No.2 /Transferee Company

DATE OF ORDER: 01.10.2024

CORAM:-

DR. VENKATA RAMAKRISHNA BADARINATH NANDULA,
HON'BLE MEMBER (JUDICIAL)
SHRI CHARAN SINGH, HON'BLE MEMBER (TECHNICAL)

Counsels / Parties Present

For the Petitioner : Mr. V.B.Raju, Counsel.
For the Respondent : Mr. Sahu, Deputy Director along with Ms.Kusum Yadav, Assistant Director from RD and Mr.D.Vasant Rao Mesharam, Assistant OL from Official Liquidator.

PER BENCH

1. This is a Petition filed by the Petitioner Companies under Sections 230 to 232 read with Companies (Compromises, Arrangements and Amalgamations), Rules 2016 inter-alia seeking for sanction of the Scheme of Amalgamation between Transferor Company and Transferee Company and their respective shareholders and creditors.

2. The averments made in the Petition are briefly described as under:
   a. The Petitioner No.1 / Transferor Company, M/s. **Zen Quality Assurance Private Limited** ("**Transferor Company**") was incorporated on 18th June, 2003 under the provisions of the Companies Act, 1956 in the erstwhile State of Andhra Pradesh. The CIN of the Transferor Company is CIN: U72200TG2003PTC041188 and registered under the Registrar of

Companies, Hyderabad. It is engaged in the business of software development and testing services, software maintenance services, technical support and outsourcing services (hereinafter referred to as the "Business of the Transferor Company"). A copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Transferor Company are annexed as **Annexure 1** to this application.

b. The authorized, issued, subscribed and paid-up share capital of the Transferor Company as on 28th February 2023 are as under:

Particulars	**Amount in Rupees**
Authorized Capital	
2,00,00,000 Equity Shares of Rs. 1 each	2,00,00,000
Total	**2,00,00,000**
Issued, Subscribed and Paid-up	
1,03,70,000 Equity Shares of Re. 1 each	1,03,70,000
Total	**1,03,70,000**

Subsequent to 28th February 2023, there has been no change in the share capital of the Transferor Company. A copy of the latest audited financial statements of the Transferor Company as on 31st March 2022 and unaudited financial statement as on 28th February 2023, is annexed as **Annexure 2-A** and **Annexure 2-B** respectively to the Application.

c. The Transferee Company i.e., **M/s. Qualitest Technologies Private Limited** was incorporated as Private Limited Company on 13th May 2022 bearing CIN: U72200TG2022FTC162631 with the Registrar of Companies, Hyderabad under the provisions of the Companies Act, 2013. The Transferee Company is engaged in business of software testing services and quality assurance in the field of software development. A copy of the Memorandum and Articles of Association of the Transferee Company are annexed as **Annexure 3** respectively to the Application.

d. The authorized, issued, subscribed and paid-up share capital of the Transferee Company as on 28th February, 2023 is as under:

Particulars	**Amount in Rupees**
Authorized Capital	
20,00,000 equity shares of Rs. 10/- each	2,00,00,000
Total	**2,00,00,000**
Issued, Subscribed and Paid-up	
11,11,155 equity shares of Rs. 10/- each	1,11,11,550
Total	**1,11,11,550**

A copy of the unaudited financial statements as on 28th February, 2023 are annexed as **Annexure 4** respectively to the Application

3. The Board of Directors of the Petitioner Companies in their respective Board Meetings held on 26th April, 2023 approved the Scheme of

Amalgamation of Zen Quality Assurance Private Limited (1st Petitioner Company/ Transferor Company) with Qualitest Technologies Private Limited (2nd Petitioner Company/ Transferee Company) and their respective Shareholders. A copy of the Board Resolutions of the respective Petitioner Companies approving the Scheme of Amalgamation are annexed herewith as **Annexure 5-A to 5-B** to the Application.

4. **RATIONALE FOR THE PROPOSED SCHEME**

a. Pooling of financial resources in a single consolidated entity for efficient treasury function and centralized management to supplement future growth opportunities.

b. Rationalization of the Group Structure including achieving simplified organizational structure to align with the intent of acquisition of business operations of the Transferor Company.

c. To improve operational and management efficiencies, streamline business operations and decision-making process;

d. Reduction in number of group companies, resulting in lesser overheads including administrative, managerial, and other expenditure, optimal utilization of resources, and provide a common governance structure;

e. Improve organizational capability and leadership in a single consolidated entity and consolidation of shareholding and financial value of the Group.

The Amalgamation is in the interest of shareholders, creditors and other stake holders of the respective companies and is not

prejudicial to the interests of the consent shareholders, creditors or the public at large.

5. **COMPLIANCE OF ACCOUNTING STANDARD**

The certificate issued by the statutory auditors M/s.Jayant & Sadashiv of the Petitioner Companies had stated that the accounting treatment as provided for in the Scheme, is in accordance with the accounting principles laid down under the Companies Act. A copy of the certificate issued by the statutory auditors of the Petitioner Companies is annexed as **Annexure- 8.**

A copy of independent Valuation Report dated 25.04.2023 issued by SSPA&Co., Chartered Accountants, Mumbai is annexed as **Annexure-9** to the petition.

6. **DECLARATION BY THE PETITIONER COMPANIES**

- No investigation or proceedings under the Companies Act, 1956 / Companies Act, 2013 have been instituted or are pending in relation to the Transferee Company and the Transferor Company.

7. A copy of the Scheme of Amalgamation of the 1st Petitioner/Transferor Company with 2nd Petitioner/Transferee Company and their respective shareholders is annexed as **Annexure-6.**

8. It is submitted that the Petitioner Companies had filed a Company Petition bearing CA (CAA) No. 45/230/HDB/2023, under section 230 to 232 of the Companies Act, 2013, wherein this Tribunal passed order vide

its Order dated 24th day of August, 2023. Copy of the order passed by this Hon'ble Tribunal is annexed to the petition as "**Annexure-7".**

9. It is submitted that this Tribunal vide order dated 26.09.2023 ordered notices to all the statutory authorities as per Rule 16 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. Subsequently notices were issued on all the statutory Authorities. It is further submitted that the Petitioner Companies as per the order of this Tribunal, publication had been carried out in the Business Standard (English) and Nava Telangana (Telugu) Newspapers on 14.10.2023 and filed the Compliance Memo with this Tribunal on 26.10.2023.

10. The Regional Director, vide his report dated 16.04.2024 has not objected to the proposed Scheme but has made certain observations. The Petitioner Companies have filed reply Affidavit dated 18.04.2024, in response to the observations made by the Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad. The details are given below:

Observation of Regional Director	**Reply filed by the Petitioner Companies by way of an Affidavit**
Para 2 (c): As per clause 2.4 of the Scheme, 17.06.2022 is the Appointed date for the proposed scheme. Transferor Company	It is submitted that as per clause No.2.4 of the scheme the appointed date is 17.06.2022 i.e., the date on

has filed statutory returns, Annual Returns and Balance Sheets up to the Financial Year ended 31.03.2023. The Scheme is silent about justification of said Appointed Date as 17.06.2022 while they have closed their last year Financial Year on 31-03-2022. Also, the Petitioner Companies have not furnished the details of Financial Statements of Assets & Liabilities as on 17.06.2022 which is material for business combination to give effect of the Scheme. The Hon'ble Tribunal may kindly look into the matter.	which the Transferee Company became 81% shareholder in the Transferor Company. Further, the aforementioned Appointed Date was determined in alignment with the broader strategic goals outlined in the scheme rationale in para 3 "Rationale for the scheme" reproduced below for your easy reference. i. Pooling of financial resources in a single consolidated entity for efficient treasury function and centralized management to supplement future growth opportunities. ii. Rationalization of the Group Structure including achieving simplified organizational structure to align with the intent of acquisition of business operations of the Transferor Company. iii. To improve operational and management efficiencies,

	streamline business operations and decision-making process iv. Reduction in number of group companies, resulting in lesser overheads including administrative, managerial, and other expenditure, optimal utilization of resources and provide a common governance structure. v. Improve organizational capability and leadership in a single consolidated entity and consolidation of shareholding and financial value of the Group. The appointed date was chosen to ensure a smooth operational continuity within the merged entity. Further, the details of assets and liabilities of the Transferor Company and Transferee Company as on appointed date was duly filed with the RD office via letter dated December, 06, 2023 as Exhibit M and L respectively.

Para 2 (d): Transferee company was incorporated on 13.05.2022. As per the e-records available on MCA 21 Portal, no information regarding calling of AGM is available since the company has not filed any Annual Return and Balance SheetS.	It is submitted that the Transferee Company was incorporated on 13.05.2022 and accordingly have filed the annual returns/balance sheet for the financial year 31.03.2023. Further, the date of last AGM of Transferee Company i.e. 27th December, 2023 and last balance sheet date i.e. 31st March, 2023 is reflected correctly as part of the company master data reflected on the MCA website. An extract from the aforementioned portal is attached as **Annexure Al** to the reply affidavit. Also, a copy of the annual return/ balance sheet duly filed with RoC is attached as **Annexure A2** to the reply affidavit.
Para 2 (e): It is stated that the Transferee Company shall pay the differential fee and stamp duty payable on the increase in Authorized Capital after deducting such fees and duties paid by the Transferor	Transferee Company hereby undertakes to pay the differential fee and stamp duty payable on the increase in authorized capital, if

Company before the merger in terms of provisions of section 232(3)(i) of the Act.	any, under Section 232 (3) (i) of the Companies Act, 2013.
Para 2 (g): The company may be asked to comply with FEMA/RBI guidelines since entire paid-up share capital of the Transferee Company is held by a foreign company namely Quantum Holding VK Bidco Limited, also the said Transferee Company held 81% of the total paid up share capital of the Transferor Company as on 28.02.2023 and consideration in the form of shares shall be given by the Transferee Company which falls under the provisions of section 232(3)(8) of the Act.	The Transferee Company undertakes to comply with necessary FEMA/RBI Guidelines if any in regard to the proposed Scheme of Amalgamation.
Para 2 (h-j): Hon'ble Tribunal may please to direct the Petitioner Company to preserve the books, comply with statutory laws, shall pay differential fee and stamp duty, file Inc-28 with the Registrar of Companies.	The Petitioner Companies vide this affidavit undertakes to comply with all the Applicable provisions and rules under the Companies Act, 2013.

<table>
<tr>
<td>Para 4 :

Hon’ble Tribunal may be pleased to direct the Petitioner Companies to furnish an undertaking that, if any demand arises from the Income Tax Department with respect to Transferor Companies and Transferee Company, Transferee Company is ready to pay the said dues as per rules.</td>
<td>The Petitioner Company undertakes to take all necessary steps and action and pay dues, if any to the extent applicable with respect to any tax demand as per the provisions of the Income Tax, Act, 1961.</td>
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<tr>
<td>Para 5(a)

As per Clause 15 of the scheme, it is stated that upon the scheme coming into effect, all the shares of the Transferor Company held by the Transferee company (either directly and/or through nominees) shall stand cancelled without any further application, act or deed. It is clarified that no new shares shall be issued, or no payment/consideration shall be made whatsoever by the Transferee Company in lieu of cancellation of such shares held of the Transferor Company. In this regard, it is submitted that the Qualitest Technologies Private Limited</td>
<td>It is submitted that:

a. Present shareholding pattern of the Transferor Company (Zen Quality Assurance Private Limited) is as follows:
<table>
<tr><th>Name of the Shareholders</th><th>No. of shares</th><th>% of Holding</th></tr>
<tr><td>Qualitest Technologies Pvt. Limited (Transferee Company)</td><td>83,99,700</td><td>81%</td></tr>
<tr><td>Qualitest Infotech Private Limited</td><td>19,70,300</td><td>19%</td></tr>
<tr><td>Total</td><td>1,03,70,000</td><td>100%</td></tr>
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(Transferee Company) held 83,99,700 shares of Rs.10/- each (81% of the capital) in Zen Quality Assurance Private Limited (transferor company) which will be cancelled. However, upon examination of the balance sheet as at 31.03.2022 and 31.03.2023, the Transferee company has shown an investment of Rs.2,33,78,25,119/- against issue of 83,99,700 equity shares of Rs.1/- each of the Transferor Company, thereby the total paid up capital and security premium account of the Transferor Company was Rs.2,45,11,000/- only, hence there is wide mis-match in the shareholding of the Transferor Company held by the Transferee Company and investment made by the Transferee Company with the Transferor Company (Investment of Transferee Company in share capital of Transferor Company is shown as Rs.233.78 crores which constitutes 81% of the paid up capital of Transferor Company whereas total paid up capital	b. As can be noted form the above table, the Transferee Company i.e., Qualitest Technologies Private Limited holds only 81% of total issued equity share capital of Transferor Company and balance 19% is held by another group Company. c. Further, the Transferee Company had acquired via secondary transfer, 81% of the issued share capital of the Transferor Company. d. Accordingly, the Transferee Company has recorded acquisition of shares of Transferor Company at acquisition price paid to third party (as per RBI Guidelines) for share acquisition in accordance with accounting standards.

and security premium of the Transferor Company is shown as Rs.2.45 crores only). In view of the above, it is prayed before the Hon'ble Tribunal to direct the petitioner companies to furnish their detailed reply in this matter with documentary evidence thereof to the Hon'ble Tribunal by serving a copy thereof to this Directorate with direction to file further report in the form of supplementary affidavit.	
Para 5(e) The Transferor Company has to pay a sum of Rs.4.17 lakhs towards MSME and which shall be paid by the Transferee Company and an undertaking in this regard may be submitted by the Transferee Company before the Hon'ble NCLT.	It is submitted that the Transferee Company undertakes to a sum of Rs.4.17 lakhs towards MSME.
Para 5 (f) Transferor Company owes disputed dues of Rs.67,64,840/- towards Income Tax and in this regard, the Transferee Company shall furnish an undertaking	It is submitted that the Transferee Company undertakes to discharge any tax liabilities of the Transferor

before the Hon'ble NCLT stating that the dues will be settled upon crystallization and demand from the said statutory authorities. The Transferee Company shall furnish an undertaking before the Hon'ble NCLT in this regard.	Company as per the prevailing law in the due course of time.
Para 5 (g) As seen from the latest unaudited balance sheet as at 17.06.2022 under the Head "Long Term Borrowings" (Loans and Advances from related parties i.e., Quantum Holding UK Bidco Ltd. UK) a sum of Rs.1,69,19,70,000/- is shown against issue of NCDs towards loan taken by the Transferee Company in this regard the Transferee Company may be directed to state full details and compliance of the provisions of section 188 of the Companies Act, 2013.	It is submitted that the parent company of the Transferee Company namely Quantum Holding UK Bidco Limited had invested a sum of Rs.169,19,70,000/- as non-convertible debentures. Further the Transferee Company has complied with the necessary provisions of the Companies Act, 2013 including provisions of Section 188 of the Companies Act, 2013. A copy of the resolution (s) passed by Transferee Company are filed as Annexure B to the reply affidavit.
Para 5(h) The company may be asked to comply with FEMA/RBI guidelines since one of	It is submitted that Transferee Company shall undertake to comply

the promoter/ shareholders of the Transferee Company is the foreign entity	with necessary FEMA/RBI Guidelines with regard to the proposed Scheme of Amalgamation.

11. The Regional Director, vide his additional affidavit/ report dated 04.06.2024 to the reply affidavit filed by the Petitioner Companies dated 18.04.2024 and has made certain observations. The Petitioner Companies have filed reply memo dated 10.06.2024, in response to the observations dated 04.06.2024 made by the Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad. The details are given below:

    With regard to the observations of the RD/RoC at para 2(e), (g), (h), (i), (j), 4, 5(e), (f) & (h) the petitioner company has undertaken to comply with the observations of the Deponent.

Observation of Regional Director	**Reply filed by the Petitioner Companies by way of an Affidavit**
Para 6: With regard to observation of ROC at para 5(a), it is stated by the petitioner companies that the present shareholding pattern of the Transferor Company is as follows:	It is submitted that the Petitioner/Transferee Company holds 81% of the total equity capital of the Transferor Company. Further the Transferee Company is held by its parent company namely

Name of the Shareholders	No. of shares	% of Holding
Qualitest Technologies Pvt. Limited (Transferee Company)	83,99,700	81%
Qualitest Infotech Private Limited	19,70,300	19%
Total	1,03,70,000	100%

It is stated that the Transferee Company i.e., Qualitest Technologies Private Limited holds only 81% of total issued equity share capital of Transferor Company and balance 19% is held by another group Company. The Transferee Company had acquired via secondary transfer, 81% of the issued share capital of the Transferor Company. Accordingly, the Transferee Company has recorded acquisition of shares of Transferor Company at acquisition price paid to third party (as per RBI Guidelines) for share acquisition in accordance with Accounting Standards. It is to state that the Transferee Company in their latest

Quantum Holding UK BIDCO LTD. Accordingly, the parent company of the Transferee Company has given amount in form of nonconvertible debentures, (unsecured) which are redeemable in 20 years and has a coupon rate of interest upto 17.5% per annum. The Transferee Company has complied with the applicable provisions of Foreign Exchange Management Act, 1999 and rules and regulations made there under. Further the said Debentures does not fall under the definition of deposit.

According to clause No.2(c)(ii) of the Companies (Acceptance of Deposit) Rules, 2014 which reads as under;

2. Definitions:- (I) In these rules, unless the context otherwise requires,

Balance Sheet as on 31.03.2023 has shown investment of Rs.259.29 crores and has raised Rs.169.20 crores in the form of Non-convertible Debentures (unsecured) which are to be redeemed in 20 years and has beared rate of interest of 17.5% per annum. Since the debentures are unsecured such issue of debenture by the Petitioner Company falls under the definition of Deposit, hence contravened the provisions of Section 73 of the Companies Act, 2013 read with Rule 2(b)(ix) of the Companies (Acceptance of. Deposits) Rules, 2014. Regional Director at para 7(b), the Petitioner Company has furnished an undertaking stating that no fraud committed by the company and that there has been clerical error in point (xi)(b) of the audit report regarding filing of ADT-4 which may kindly be noted by the Hon'ble NCLT. In this regard, it is submitted that the petitioner company may be directed to produce a	(a) "Act" means the Companies Act, 2013 (18 of 2013); (b) "Annexure" means the Annexure attached to these rules; (c) "deposit" includes any receipt of money by way of deposit or loan or in any other form, by a company, but does not include- (ii) any amount received from foreign Governments, foreign or International banks, multilateral financial institutions (including, but not limited to, International Finance Corporation, Asian Development Bank, Commonwealth Development Corporation and International Bank for Industrial and Financial Reconstruction), foreign Governments owned development financial institutions, foreign export credit agencies, foreign collaborators, foreign bodies

certificate from the statutory auditor for the period 2021-22 regarding non-filing of ADT-4/ no fraud in the affairs of the company to substantiate the averment of the petitioner company since the auditor has stated otherwise i.e., they have filed ADT-4.	corporate and foreign citizen, foreign authorities or persons resident outside India subject to the provisions of Foreign Exchange Management Act, 1999 (42 of 1999) and rules and regulations made there under; (v) any amount received against issue of commercial paper or any other instruments issued in accordance with the guidelines or notification issued by the Reserve Bank of India."

12. Regional Director, filed his additional affidavit-II dated 21.06.2024 and petitioner companies filed reply affidavit dated 26.06.2024. Regional Director, filed his Additional affidavit-III dated 01.08.2024 stating that the replies filed by way of affidavit dated 26.06.2024 have been examined and made observation. The Petitioner Companies filed reply memo dated 26.06.2024 to the additional affidavit-II dated 21.06.2024 and explained in the form of affidavits. The Regional Director vide additional affidavit-III stated that this Hon'ble Tribunal may consider the same and pass orders as deemed fit and proper in the circumstances.

13. **OFFICIAL LIQUIDATOR'S REPORT:**

The Official Liquidator has filed his report, vide OLR No. 5/2024 dated 07.02.2024 stating certain observations at point no.22 of his report. The observations pointed out has been replied by the petitioner companies vide affidavit dated 13.02.2024, which is mentioned below:

Observations of Official Liquidator	**Reply by way of Affidavit**
Para 22 (1): That, the Clause 11.1 of Part – II of the Scheme seeks to protect all the staff, executives, workmen and other employees of the Transferor Company, if any, in service on the Effective Date. Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to submit an undertaking to this Hon'ble Tribunal to the effect that there would be no retrenchment of any employee who were in service as on Appointed Date (i.e., 17.06.2022) as well.	It is submitted that the petitioner companies (Transferor and Transferee Companies) undertake that there would no retrenchment of any employee who were in service as on the appointed date i.e., 17.06.2022.
Para 22 (2):	It is submitted that the Transferee Company shall pay

That, the Clause 19.1 of Part-III of the Scheme provides for clubbing of Authorized Capital. However, as per the Clause, the authorized capital of the Transferee Company shall automatically stand increased without payment of any further fees / stamp duty. This term in the Scheme is not in line with the provisions of Section 232(3)(i) of the Companies Act, 2013. In this regard, the Transferee Company shall comply with the provisions of the aforementioned section and pay the difference fee, if any, after setting off the fee already paid by the Transferor Company on its respective capital.	the differential fee if any after setting off the fee paid already by the Transferor Company as and when the necessity arises.
Para 22 (3): That, as per Clause 17 of Part-Ill of the Scheme " Amalgamation of the Transferor Company with the Transferee Company shall be accounted for in accordance with accounting prescribed under "pooling of interest" method in Accounting Standard (AS) 14 as specified under Section 133, of the	It is stated that as per clause 17 of Part-III of the Scheme the Transferee Company shall account for the Amalgamation of the Transferor Company in accordance with accounting prescribed under “Pooling of Interest Method” in Accounting Standard 14 as

Companies Act, 2013". Hence, this Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to submit an undertaking to the effect that "they will not deviate from the provisions of Accounting Standard (AS) 14-(Accounting for Amalgamation)".	specified under section 133 of the Companies Act, 2013.
Para 22(4) That, there are foreign shareholders in the Transferee Company, therefore the Transferee Company shall undertake to comply with the provisions of FEMA Act.	It is submitted that the Transferee Company undertakes to comply with the provisions of the FEMA and other rules made under by Central Government/ RBI.
Para 22(8) : That, a letter dated 09/102023 has been received from the Deputy Commissioner of Income Tax, Circle-8(1), Hyderabad, informing that there is an outstanding due of Rs.67,55,016/- for the Ay 2019-20 from the Transferor Company. The Deputy Commissioner of Income Tax, has requested to take the above information on record while	It is submitted that pursuant to clause 6.16 of the Scheme of amalgamation, the Transferee Company hereby confirms and undertakes that, upon the coming into effect of this scheme as approved by this Hon'ble Tribunal, the CIT

finalization of the amalgamation proceedings. Hence, this Hon'ble Tribunal may be pleased to direct the Transferee Company to settle the above dues with the Income Tax Department. Copy of the Letter dated 09/10/2023 received from the Income Tax Department is enclosed herewith.	Appeal pending with Deputy Commissioner of the Income-Tax Circle -8(1) shall be continued and/or enforced by or against the Transferee Company and outcome of the aforesaid proceedings shall be transferred and vested with the Transferee Company. Accordingly, post- merger, any tax liabilities of the Transferor Company will be discharged by the Transferee Company as per the prevailing law in the due course of time.

The Official Liquidator has filed further report vide OLR No.09/2024 dated 23.02.2024 and stated that after compliance of observations this Hon’ble Tribunal may consider the same and pass orders as deemed fit and proper in the circumstances.

14. We have heard Learned Counsel Mr.V.B.Raju, for the Petitioner Companies, Joint Director Mr.Sahu, (SER), and Mr.D.Vasant Rao Mesharam, Assistant OL. Perused the material papers on record.

15. We have also perused the observations as raised by the RD office on various dates and written submissions made by the petitioners on these observations. We note that, both the parties are making rival contentions in respect of issuance of non-convertible unsecured debentures issued by transferee company.

16. In view of the rival contentions made by the RD Office and Counsel for petitioners, the point that emerges for our consideration is:-

"**Whether the Scheme of Amalgamation between the Transferor and Transferee Companies is contrary to the provisions of Section 73 of the Companies Act, 2013, Read with Rule 2(c)(9) of the Companies (Acceptance of Deposits) Rules, 2014?.**

SUBMISSIONS:

17. Mr.Sahu, Joint Director, R.D(SER) submitted that the Transferee company has issued non-convertible unsecured debentures of Rs.169.20 crores to be redeemed upto the period of 20 years. Mr.Sahu, further submitted that since the debentures are unsecured, such issue of debenture by Transferee Company falls under the definition of deposit, hence it has contravened the provision of Section 73 of Companie's Act, 2013 R/w Rule 2(c)(9) of Companies (Acceptance of Deposits) Rules, 2014.

18. Learned Counsel for the petitioner Companies submitted that the transferee Company holds 81% of the total equity capital of the Transferor Company. Learned counsel further submitted that the

Transferee Company held by its parent Company in Quantum Holding UK BIDCO LTD. Learned Counsel further contended that the said debentures does not fall under the definition of deposit as the investment is made by a foreign company and the Transferee Company has complied with the applicable provisions of Foreign Exchange Management Act, 1999 and rules and regulations made there under. Learned Counsel further submits that as per Para 1.A.(b) of Schedule 1 to Foreign Exchange Management (Debt Instrument) Regulations, 2019 dated 17.10.2019 issued by Reserved Bank of India vide notification no. FEMA 396/2019-rb ("FEMA Notification"), Foreign Portfolio Investor can invest in any Non-Convertible Debentures issued by an Indian Company.

19. Learned Counsel further submits that even after amalgamation of the petitioner companies, Transferee Company which has issued these Non-Convertible Debentures will continue to exists and therefore no injustice will be caused to any investor.

20. **OUR OBSERVATIONS AND FINDINGS:**

Before, we proceed to decide this point we feel it proper to extract Section 73 of Companies Act, Rule 2(c)(ix), and Rule 2(c)(ii) which is extracted as below:

Section 73 of Companies Act, 2013

(1) On and after the commencement of this Act, no company shall invite, accept or renew deposit under this Act from the public except in a manner provided under this Chapter:

Provided that nothing in this sub-section shall apply to a banking company and non-banking financial company as defined in the Reserve Bank of India Act, 1934 (2 of

1934) and to such other company as the Central Government may, after consultation with the Reserve Bank of India, specify in this behalf.

(2) A company may, subject to the passing of a resolution in general meeting and subject to such rules as may be prescribed in consultation with the Reserve Bank of India, accept deposits from its members on such terms and conditions, including the provision of security, if any, or for the repayment of such deposits with interest, as may be agreed upon between the company and its members, subject to the fulfilment of the following conditions, namely :—

(*a*) issuance of a circular to its members including therein a statement showing the financial position of the company, the credit rating obtained, the total number of depositors and the amount due towards deposits in respect of any previous deposits accepted by the company and such other particulars in such form and in such manner as may be prescribed;

(*b*) filing a copy of the circular along with such statement with the Registrar within thirty days before the date of issue of the circular;

(c) depositing, on or before the thirtieth day of April each year, such sum which shall not be less than twenty per cent. of the amount of its deposits maturing during the following financial year and kept in a scheduled bank in a separate bank account to be called deposit repayment reserve account;

(d)[***]

(*e*) certifying that the company has not committed any default in the repayment of deposits accepted either before or after the commencement of this Act or payment of interest on such deposits and where a default had occurred, the company made good the default and a period of five years had lapsed since the date of making good the default; and

(*f*) providing security, if any for the due repayment of the amount of deposit or the interest thereon including the creation of such charge on the property or assets of the company:

Provided that in case where a company does not secure the deposits or secures such deposits partially, then, the deposits shall be termed as “unsecured deposits” and shall be so quoted in every circular, form, advertisement or in any document related to invitation or acceptance of deposits.

(3) Every deposit accepted by a company under sub-section (2) shall be repaid with interest in accordance with the terms and conditions of the agreement referred to in that sub-section.

(4) Where a company fails to repay the deposit or part thereof or any interest thereon under sub-section (3), the depositor concerned may apply to the Tribunal for an order directing the company to pay the sum due or for any loss or damage incurred by him as a result of such non-payment and for such other orders as the Tribunal may deem fit.

(5) The deposit repayment reserve account referred to in clause (*c*) of sub-section (2) shall not be used by the company for any purpose other than repayment of deposits.

Rule 2(c)(ix) of Companies (Acceptance of Deposits)Rules, 2014

2. Definitions.-
(c) "deposit" includes any receipt of money by way of deposit or loan or in any other form, by a company, but does not include –
(ix) any amount raised by the issue of bonds or debentures secured by a first charge or a charge ranking pari passu with the first charge on any assets referred to in Schedule III of the Act excluding intangible assets of the company or bonds or debentures compulsorily convertible into shares of the company within [ten years]:

Rule 2(c)(ii) of Companies (Acceptance of Deposits)Rules, 2014

(ii) any amount received from foreign Governments, foreign or international banks, multilateral financial institutions (including, but not limited to, International Finance Corporation, Asian Development Bank, Commonwealth Development Corporation and International Bank for Industrial and Financial Reconstruction), foreign Governments owned development financial institutions, foreign export credit agencies, foreign collaborators, foreign bodies corporate and foreign citizens, foreign authorities or persons resident outside India subject to the provisions of Foreign Exchange Management Act, 1999 (42 of 1999) and rules and regulations made there under;

21. We note that Joint Director, RD(SER) has mainly contended contravention of the Rule 2(c)(ix) of the Companies (Acceptance of Deposits)Rules, 2014 on the ground that since the debentures are not secured these will be considered as deposits raised by the Company

and because the Transferee Company has not followed the process as contemplated in Section 73 of the Companies Act, 2013. It has contravened Section 73 of the Companies Act, 2013.

22. On the contrary, Learned Counsel for the petitioner companies has relied on the Rule 2(c)(ii) of Companies (Acceptance and Deposits) Rules, 2014 supra, which clearly says that any amount received from persons resident outside India subject to the provisions of Foreign Exchange Management Act, 1999(42 of 1999) and rules and Regulations made there under will not fall under the definition of "deposits"

23. We have perused Foreign Exchange Management Act, 1999 debt regulations, 2019 and applicable provisions CHAPTER II PARA 5(1) is reproduced as under is:

> "A person resident outside India, permitted for the purpose by the Reserve Bank in consultation with Central Government, may purchase or sell debt instruments in the manner and subject to the terms and conditions specified in Schedule 1".

24. On perusal of the Schedule I, we find that Foreign Portfolio Investors are permitted to purchase non-convertible debentures/bonds issued by Indian Company. We have also perused the Certificate of Registration dated 22.01.2021 issued by SEBI to "Quantum Holding UK Bidco Limited" as a foreign portfolio investor.

25. After perusal of Certificate of Registration submitted by petitioner companies and also keeping in view Foreign Exchange Management (debt Instruments) , Regulations 2019, we are of the firm view that

this amount raised by the Transferee Company comply Rule 2(c)(ii) of the Companies (Acceptance of Deposit rules), 2014.

26. We carefully perused Section 2(c) and exclusions of deposits as provided under point (i) to (xviii) and find that these exclusions are exclusive and if any receipt of money by way of deposit or loan or in any other form by a Company comply with any of the exclusions the amount so raised will not be included in the deposits. In our view it is not necessary that all the exclusions listed under points (i)-(xviii) need to be complied with for an amount to be excluded from the deposits. We are of the view that if any of the conditions out of point(i) to (xviii) is satisfied, the money received will not be treated as deposit. Since the money raised by foreign Company through issuance of unsecured non-convertible debentures satisfies Rule 2(c)(ii), it can't be treated as deposit and therefore the provisions of Section 73 will not apply to it.

Accordingly, point is answered.

27. In the above backdrop we hold that there is no contravention of Section 73 of Companies Act, 2013 by the Transferee Company.

28. After hearing the Counsel for the Petitioner Companies and considering the material on record, we are of the view that scheme is not opposed to public interest and the proposed Scheme is in the interests of the Transferor Company, the Transferee Company and their respective shareholders, employees, creditors and all persons concerned. Hence the scheme can be approved with appointed date as

17.06.2022. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013. Hence ordered.

ORDER

29. After hearing the Counsel for the Petitioner Companies and after considering the material on record, this Tribunal passed the following order:

(i). The Scheme of Amalgamation is hereby sanctioned with appointed date as 17.06.2022 and shall be binding on all the members, employees, creditors and all other stakeholders of the Petitioner Companies.

(ii). While Approving the Scheme, we made it clear that this order should not be construed as an order in anyway granting exemption from payment of Stamp Duty, taxes or any other charges, if any, payable in accordance with law or in respect of any permission/compliance with any other requirement which may be specially required under any law.

(iii). The whole of the assets, property, rights and Liabilities of the Transferor Company shall be transferred without the requirement of any further act or deed to the Petitioner/Transferee Company.

(iv). We direct the Petitioner companies to comply with all the observations pointed out by the Regional Director.

(v). We direct the Petitioner companies to comply with all the observations pointed out by the Official Liquidator.

(vi). We direct the Petitioner Companies to preserve the books of accounts and papers and records and the same shall not be disposed of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

(vii). We direct the Petitioner Companies to ensure statutory compliance of all applicable laws and also on sanctioning of the present Scheme the Petitioner Companies shall not be absolved for any of their statutory liability in any manner.

(viii). All the legal proceedings pending by or against the Transferor Company shall be continued by or against the Transferee Company.

(ix). Though no representation has been received from the Income Tax Authorities despite service of notice by the Petitioner Companies. We direct the petitioner Companies to comply with the observations if any with the Income Tax Authorities as per law.

(x). The Petitioner Companies are directed to strictly comply with the Accounting Treatment Standards prescribed under Section 133 of the Companies Act, 2013.

(xi). The sanction of the Scheme by this Tribunal shall not forbid the revenue authority from taking appropriate recourse for recovering the

existing and previous tax liabilities of the Transferor and Transferee Companies.

(xii). We direct the Transferee Company to comply with the provisions of Section 2 (41) of the Companies Act, 2013, if applicable.

(xiii). The Transferor Company shall be dissolved without going through the process of winding up.

(xiv). The Petitioner Companies shall until the completion of the Scheme of Amalgamation, file a statement in such form and within such time as prescribed with the Registrar every year duly certified by a Chartered Accountant or a Cost Accountant or a Company Secretary to the effect that the Scheme of Amalgamation is being complied with in accordance with the orders of the Tribunal as required under Section 232 (7) of the Companies Act, 2013.

(xv). We direct the Petitioner Companies involved in the Scheme to comply with Rule 17 (2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013. The Petitioner Companies within 30 days after the date of receipt of certified copy of the order, shall cause certified copy to be delivered in Form INC-28 to the Registrar of Companies concerned for registration and on such certified copy being delivered, Registrar of Companies concerned shall take all necessary consequential action in respect of the Petitioner Companies.

(xvi). The Petitioner Companies is further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of merger under the provisions of the Companies Act, 2013 and submit necessary compliance and undertaking relating to the objections raised by the Regional Director (SER), MCA, GoI, Hyderabad.

(xvii). Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

(xviii). Accordingly, the Company Petition C.P. (CAA) No. 52/230/HDB/2023 is allowed and the same is disposed.

-sd-
Charan Singh
Member Technical

-sd-
Dr. Venkata Ramakrishna Badarinath Nandula
Member Judicial

pavani